## Example

The value of closing stock shown as adjustment on 31st March, 2016 is ₹ 10,000. The adjusting entry is:

**Adjusting entry**

| Date | Particulars | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|---|
| 2016 March 31 | Stock - in trade (closing) A/c Dr.<br>To Trading A/c<br>(Closing stock brought into account) | | 10,000 | 10,000 |

In final accounts, it is presented as follows:

**Dr. Trading Account for the year ended 31st March, 2016 Cr.**

| Particulars | ₹ | ₹ | Particulars | ₹ | ₹ |
|---|---|---|---|---|---|
| | | | By Closing stock | | 10,000 |

**Balance Sheet as on 31st March, 2016**

| Liabilities | ₹ | ₹ | Assets | ₹ | ₹ |
|---|---|---|---|---|---|
| | | | Stock-in-trade | | 10,000 |

### Tutorial note

If closing stock is already adjusted, adjusted purchases account and closing stock will appear in trial balance. Adjusted purchases account will be shown on the debit side of the trading account and closing stock will be shown on the assets side of the balance sheet.

### (ii) Outstanding expenses

Expenses which have been incurred in the accounting period but not paid till the end of the accounting period are called outstanding expenses. In other words, if certain benefits or services are received during the year but payment is not made for the services received and utilised, these are termed as outstanding expenses. Outstanding expense account is a representative personal account and expense account is a nominal account.

**Adjusting entry**

| Particulars | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|
| Concerned expense A/c Dr.<br>To Outstanding expense A/c<br>(Expense outstanding adjusted) | | xxx | xxx |

## Presentation in final accounts

| | |
|---|---|
| In the Trading A/c or Profit and loss A/c | Amount outstanding is added to particular expense account in the trading account if it is direct expense and in the profit and loss account if it is an indirect expense. |
| In the Balance Sheet | Amount of outstanding expense is a current liability and is shown on the liabilities side of the balance sheet. |

### Tutorial note

1. If outstanding expenses account appears in the trial balance with credit balance, it means that journal entry has been made already for outstanding expenses. Hence, the outstanding expenses account will be shown only in the liabilities side of balance sheet. No adjustment is therefore necessary in expenses account as already expenses would have been adjusted.



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